CASE STUDY

Sita and Sumathy started a restaurant in a busy area by forming a partnership business .The restaurant attracted many customers due to its quality of food and customer service. By the end of second year, the restaurant started making profit. After five years, they had a plan to expand the restaurant by opening one more branch. One of their friends, Susan, has good marketing skills. So, Sita and Sumathy mutually agreed to admit Susan into the firm. But, the firm did not have any partnership deed. On admission, the assets and liabilities were revalued. The partners generated goodwill internally. Very soon, Susan with her marketing skills got a contract with a nearby office to supply food for all their employees. It resulted in more profit to the firm.

Discuss on the following:

1. Do you think Sita and Sumathy should have a partnership deed?
2. In the absence of a partnership deed, what is to be done?
3. What are the accounting adjustments to be made when Susan joins in an existing firm?
4. Can the firm record the internally generated goodwill?
5. Susan expects a share on the gain on revaluation. Is it possible for her to get a share?
6. Susan claims a commission on the new contract. Do you agree on this?

To explore further

Is it compulsory for the partners to continue in the business forever? What will happen if any one of the partners leaves the firm? Will the partnership cease to operate?

Reference

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